JAPANESE CHAMBER OF COMMERCE & INDUSTRY IN VIETNAM
POSITION PAPER AT THE VIETNAM BUSINESS FORUM MIDTERM 2019

Prepared by
JCCI

The Japanese Chamber of Commerce & Industry in Vietnam (JCCI) would like to bring your attention to seven issues which we consider to be challenges for Vietnam to further improve the investment environment.

1. PPP（Public-Private-Partnership)

We sincerely thank the government for the effort to proposed a new draft of PPP.

Vietnam sets a centrally-mandated target that limits its public debt to 65 percent of GDP and the Government consistently reduces the dependency on loans. Under the situation, "active adoption of PPP scheme" will be effective in order to utilise private sector funds instead of public funds to upgrade Vietnam's infrastructure.

PPP is a long-term contract between a private party and a government entity, for providing a public asset or service, in which the private party bears significant risk and management responsibility. It is instrumental that the Government clarifies the risk allocation between the Government and the private party and to provide comprehensive support for private party to ensure the reasonable return from the investment.

In addition, for foreign enterprises to participate in PPP projects in Vietnam and from the perspective of global standards, we would highly like to request the Vietnamese Government to recognize the necessity of adopting "Foreign currency exchange guarantee system" and applying "Foreign Law" as a governing law. Here we would like to reiterate four areas for improvement, we stated during the last VBF Annual Meeting at the end of last November:

- Stating clearly that Vietnam applies "Foreign Law" as a governing law;
- Allowing arbitration agreement outside Vietnam for all infrastructure projects, including "real estate" as a condition of dispute settlement;
- Allowing investors and project operators to mortgage over land use rights and property on land, rights of operating project equipment;
- Bearing risks through various guarantees, the typical of which is Foreign currency exchange guarantee in order to clarify the risk allocation between the Government and the private party.

We strongly expect that the PPP project will further boost Vietnam's economic growth through these improvements above.

2. Development of supporting industries

It is essential to establish the core industry with international competitiveness in order to keep the rapid economic growth and make this growth sustainable in Vietnam. The establishment of core industry requires to strengthen the manufacture and supply of the materials and semi-

finished products and to develop the domestic industrial value chain in Vietnam as well as to manufacture and assemble finished products.

In 2018, the foreign direct investment (FDI) in Vietnam increased by 9.1% compared to 2017, reaching the record highest, USD 19.1 billion. In particular, FDI in setting up production bases of textile & garment and electronic products increased significantly. FDI is expected to increase further in 2019. However, in the entire industrial value chain, "supporting industries" such as manufacturing and supply of materials and semi-finished products has not been developed enough yet while FDI has mainly developed the manufacturing and assembling of finished products. The development of supporting industries will contribute to strengthen the cost-competitiveness by promoting the local procurement of enterprises manufacturing and/or assembling of finished products. Hence, the development of supporting industries is one of important areas that can contribute to the establishment of core industry in Vietnam.

Japan Trade Promotion Agency (JETRO) is promoting the networking between Japanese companies and Vietnamese companies by the development of Vietnamese supporting industries and promoting the sales channel in Vietnam. This August, JETRO will hold “Vietnam-Japan Supporting Industries Exhibition” in Hanoi in collaboration with Vietnam Trade Promotion Agency. We, Japanese companies, see the development of supporting industries as the urgent agenda.

We would like to present our four proposals for the further development of the supporting industries:

a. Providing incentives to develop enterprises

We welcome that the Government has issued Decree 82/2018 / ND-CP, which provides more incentives to the supporting industries sector than to the enterprises located in ordinary industrial zones on land lease fees or land lease duration. Furthermore, in order to develop enterprises whose products meet the global standard quality, we expect the Government to discuss the policies on the incentive program for manufacturing of high quality products. Implementation of 5S or ISO is also highly recommended for the management foundation for the future.

b. Launching initiatives for foreign enterprises to promote alliances with Vietnamese enterprises and technology & knowledge transfer to Vietnamese enterprises

Particularly for industrial sectors with small domestic demand and small productive capability, we would like to recommend the Government to implement new incentives to invite foreign enterprises with high technical capability. These foreign enterprises should be incentivized to make alliances with local Vietnamese enterprises and to ensure technology & knowledge transfer to Vietnamese companies. This should encourage Japanese supporting industries enterprises with high technical capability to invest in on-site production. We believe that the above mentioned is effective as an interim measure until the industry gets scaled.

We would also like to request the social system architecture such as networking platform between companies for providing the detail of Vietnamese companies and connecting Vietnamese supporting industries and Japanese finished products manufacturers.

c. Upgrading talents development policy

The shortage of technical talents and resources including general workers becomes a critical issue due to increasing number of foreign enterprises entrants and expanding existing

manufacturing companies. It would be efficient to develop the existing vocational-training institutions which Vietnamese and Japanese Government have focused on and to spend more resources on the local talents development.

In addition to training program for the local human resources, we would like to suggest to install the assist mechanism for promoting the Japanese SMEs adopting the Vietnamese technical intern to expand into Vietnam. This effort will enhance the effectiveness of technical training. These companies can also hire the Vietnamese technical intern in Vietnam after their internship, which can contribute to the development of high skilled engineers.

d. Promoting expanding domestic market

The market size in Vietnam is still small and companies cannot aquire the economies of scale to gain enough return on their capital investment. There exist some industries that don't fully maximize the local procurement due to lack of cost competitiveness against the imported assemblies and parts.

We believe that the support on the investment into those sectors such as jigs and molds should have the equivalent impact as the scaled market and it should accelerate the expansion of domestic market growth strongly.

3. Better predictability of changes of laws and regulations

In order to drive new industries including supporting industries, it is very important for the Government to organize the laws and apply the law stably and to ensure the predictability of the change of laws. The change in the laws or regulations in a short time and the unreasonable interpretation or application of regulations will disturb the stable business operations, hence it will increase the back office cost, leading to the difficulty in establishment of the industry.

The legal certainty has not been secured recently by sudden changes of laws which deprive or negatively affect the lawful interests enjoyed by the investors. The transitional provision will not protect those investors. we would like to recommend the Government to pay full attention to take appropriate measures not causing such deprivation or negative impact on the investors' lawful interests by enacting and amending laws and regulations and set the reasonable timeframe when changing the laws and regulations.

a. Eliminating the 50% reduction of personal income tax in Special Economic Zones

Decree 82/2018/ND-CP was issued on 22 May 2018 but was taken into effect in a short time, from July 2018. The sudden withdrawal of tax incentives made a huge negative impact on the profitability and financial planning of companies located in the Special Economic Zones, causing a critical confusion among the companies, and the predictability of the laws has not been secured. Appropriate length of transitional periods should have been established, and a relief program needs to be provided to the enterprises which can be negatively affected by changes in laws/regulations.

b. Application of supporting industrial tax incentives to business expansion before 2015

According to Decree 111/2015/ND-CP and Circular 55/2015/TT-BTC on corporate tax laws and industrial tax incentives, if business expansion before 2015 meets the conditions of the current regulations, it is reasonable for the enterprises to enjoy the corporate tax incentives for the supporting industries, as Ministry of Justice and the Ministry of Industry and Trade agreed. It is

also understood that Article 13, paragraph 1 of the Investment Law can support the interpretation, but there have been cases where the Ministry of Finance refused to apply tax incentives.

The interpretation by Vietnamese authorities should be consistent so that enterprises can expect the correct application of the law. The predictability of the laws should be secured.

This situation disturbs the investment in supporting industries. The Government is supposed to urgently expresses its consistent opinion and should provide clear and detailed evidence and ensure predictability of the laws so that enterprises can rely on the laws.

c. Circular 18 on VAT refund (VAT)

Circular 18/2019/TT-BTC on VAT refund was issued on 3 April 2019 and taken effective on 20 May 2019. The Circular regulates the refund of VAT and has a huge impact on the cashflow of enterprises. The establishment of value-adding supporting industries mostly requires sufficient capital and equipment but this legal amendment led a negative impact on this sector. The regulation enforced only after 1 month from the issuance, especially with the negative impact, cannot secure the predictability of laws.

Please make sure that there is no impact for VAT refund of investment stage wichi is regualated in article 1-3 of VAT Law 106/2016/QH13 since this is totally different regulaiton

We would like to recommend the Government to comprehend the negative impacts on businesses such as cash shortage or bankruptcy, set the appropriate transition period such as a year.

4. The tight electricity supply and demand

The electricity supply and demand is getting tight in Vietnam due to the rapid increase in electricity demand. Particularly for the manufacturing industries, electricity is the basis of business. The outage of electricity or unreliable supply will reduce the interests in expanding businesses for the existing enterprises and will be a bottle neck for the prospective investors.

We recognize that in order to avoid huge power blackout, Vietnam Electricity is promoting the large accounts to save electricity in the occurrence of emergency. However, we would like the Government to note that the companies are forced to face to the critical risk that they cannot predict how often they will face to this emergency.

In the context of further economic development, industrialization and new investment projects increase, the increase of electricity demand is reasonably expected. Hence, we expect the Government to take initiative to construct large-scale power plants and the application of renewable energy to ensure the stable electricity supply.

5. Environmental Protection Measures

Vietnam is facing to serious environmental concerns such as air pollution, water pollution, and soil pollution led by rapid economic development, industrialization and climate change. There are many causes of environmental pollution, such as measures of untreated drainage at the abnormal occurrence in industrial zones or untreated solid waste owing to the unorganized waste treatment facilities.

Various measures including Law on Environmental Protection (Law No.55/2014/QH13) revised

in 2015 have been applied to promote the environmental protection. Decree 40/2019/ND-CP which published on 13th May 2019 requires to install wastewater tank, equipment or pond to store wastewater up to 3 days in order to prevent wastewater accident. However, to install wast pond needs a large space and it is a heavy burden for enterpricses. We would like to request the Government to consider the practicality of the regulations when issuing the additional ones to promote the further the environment protection including this Decree 40/2019/ND-CP. It is also highly appreciated if the Government clearly shows the rationale behind the regulations.

The environmental pollution should be prioritised since it is an issue that can damage the Vietnam's national interests and its reputations. Japanese companies have experience of overcoming the problems of pollution that happened in Japan and we fully understand the importance of caring for the environment. We have successfully implemented appropriate environmental protection measures to coexist with the environment in our business operation in Vietnam and we will continue to implement additional valuable measures to contribute to the environmental protection.

It is our pleasure to cooperate with you in the field of environmental protection with their technological capabilities and experience for the sustainable economic development of Vietnam.

6. Importation of used machinery and equipment

JCCI highly welcome that the Government has issued Decision 18/2019/QD-TTg on 19 April 2019. We appreciate that the requirement of the date after manufacture of production line was waived, and the used machinery and equipment in some specific cases up to 20 years from the date of manufacture are allowed to be imported into Vietnam with certain criteria fulfilled.

We would be grateful for the Government's clarification of assessment criteria, assessment duration, and the details of certifications to be attached to the machinery/equipment besides the relaxation of regulation for the period of service.

For the further industrialization of Vietnam, we expect the Vietnamese Government to approve the importation of used machinery and equipment that fulfills the criteria such as power efficiency and energy consumption rate.

7. Forced participation of foreigners in social insurance

It has been reported that recently some of the local authorities (especially in the southern part of Vietnam) tend to unreasonably limit the scope of the term "worker internally transferred within an enterprise" when foreign expats apply for the renewal of their work permits. We believe this may relate to the exemption from the compulsory social insurance granted to the foreign expats categorized as such "worker internally transferred within an enterprise".

We request that the local authorities appropriately interpret and apply this term based on legitimate and sufficient legal grounds.